

Marketing Mix

- **How is your company adapting its product, pricing, communication, and distribution strategies to meet the evolving needs of its target market?**
 - Airbnb has expanded past its simple short-term rental origins to meet broader travel needs:
 - Long-term stays and remote work features.
 - Airbnb “categories”
 - Improved search functionality around experiences and property types.
 - E.g. cabins, beachfront homes.
 - Airbnb “Luxe”
 - Expanded into high end accommodation, offering premium hospitality.
- **Are there any signs of Marketing Myopia?**
 - Marketing Myopia explains when companies focus too much on their missions and fail to take customer needs into account. They don’t conduct enough and continuous user research; and for Airbnb, it seems to be handling customer support and stands on an overwhelmingly positive threshold for sentiment analysis score. Even though they cut marketing spending by 58% in 2020, it still achieved 95% online use per customer the same year.

Brand Equity

- **What strategies is your company using to strengthen brand equity (e.g., awareness, loyalty, perceived value, associations)?**
 - Airbnb has engaged in various marketing strategies to strengthen brand equity, including:
 - Global digital marketing campaigns
 - Encouraged user-generated content, in which users share unique stories with their stay(s) on Airbnb.
 - Strengthening customer loyalty
 - Through convenience and an algorithm that learns what type of accommodation / where a user would like to go, increasing the likelihood of customers returning to the platform.
 - Collaborating with world events like the Fifa World Cup
 - Word-of-mouth, customer to customer testimonials.
- **How does the company’s Net Promoter Score reflect these efforts?**
 - Airbnb’s NPS is right around 24 which is good for the industry (the average in the industry is 20). For hotels the NPS is often higher and it is

difficult to fully separate the hospitality industry from short-term rentals which is what airbnb does. Airbnb has a higher NPS than their competitors for example VRBO's NPS is negative, showing that it is impressive airbnb has the NPS that they do in this industry.

Target Market & Positioning

- **Is your company's target market sustainable in the long term?**
 - Airbnb's target market is sustainable in the long term as there will always be people looking to go on vacation, having a business trip, or looking for a short-medium term rental. With this, as long as the system stays safe and reliable there will also perpetually be hosts looking to make money off of renting out their properties or services. There is a lot of competition within the industry which makes staying at the top for a while pretty difficult. If airbnb can keep innovating and stay away from marketing myopia they will be in a good place going into the future.
- **How does your company's positioning compare with its key competitors?**
 - Airbnb has a much larger customer base than its competitors and generates many more bookings than them as well.
 - While they get complaints like poor customer service, their competitors are also lacking on this front, and many more so than Airbnb.

Marketing Environment

- **How is your company responding to two Immediate Environmental factors and two Macro Environmental factors that impact its operations?**

Immediate environmental factors:

1. Natural disaster in a certain area → would limit travel to that area and temporarily reduce bookings in the affected area
 - a. Handle this by pausing operations there and continuing once it is safe and consumers are willing to travel there again
2. Vrbo (competitor) drops prices → Airbnb would be affected because some of their customers would be swayed by lower prices and shift to Vrbo as their primary source
 - a. Handle this by 1) relying on their loyal consumer base to stay with Airbnb due to their superior reputation and experience-based offerings, 2) potentially lower prices as well to appease customers looking to switch (drop fees, encourage hosts for lower prices)

Macro environmental factors:

1. Social Trend: Generacization- It is extremely common for people to refer to any rental home as an Airbnb

- a. Airbnb has especially leaned into it in its ad campaign “*airbnb it*”. Fully refraining from saying rent/sublet and rather using Airbnb to fill in as the proper word.
- 2. Political: Travel Ban → would really limit people's ability to travel and temporarily reduce bookings
 - a. used operations and continue once possible. In the meantime, maybe promote similar destinations that aren't restricted